

Business Strategy (Mid Term)

Pdf -1 (A)

1. Define Strategic Management?

Ans: Strategic management is the process of formulating and implementing strategies to achieve the goals and objectives of an organization.

2. Explain example of Strategic Management.

Ans:

- **Strong Market Entry:** Strong market entry means a company enters a market successfully and gains customers quickly. It uses good planning, marketing, and competitive pricing to attract buyers. This helps the company build a strong position against competitors. **Example:** Amazon enter the India Market police.
- **Customer-Centric Approach:** Customer-centric approach means focusing on customer needs and satisfaction first. The company improves products and services based on customer feedback. This helps build trust, loyalty, and long-term business success. **Example:** Indian customer online shopping for Amazon.
- **Continuous Innovation:** Continuous innovation means regularly improving products, services, or ideas. Amazon introduced innovative features and services tailored to the Indian market, such as Hindi language support, regional content, and localized payment options.
- **Competitive Pricing:** Competitive pricing setting product prices similar to or better than competitors. Amazon employed a competitive pricing strategy to attract customers, offering discounts and deals on popular products.
- **Strategic Partnerships:** Strategic partnerships mean two or more companies work together for mutual benefit. They share resources, knowledge, or technology to achieve common goals. Amazon forged partnerships with local retailers, brands, and small businesses, enabling them to expand their product range.
- **Investments in Technology:** Investments in technology mean spending money on new tools, software, or machines. Amazon significantly invested in technology and data analytics to enhance customer personalization, improve operational efficiency.

3. Explain Task of Strategic Management.

The strategy-making, strategy-implementing process consists of five inter-related managerial tasks:

1. A company decides what type of business it wants to do. It creates a clear vision and plans for future growth. This gives long-term direction and helps achieve company goals.
2. Turning the company's vision and mission into clear goals and performance targets.
3. Making a strategy to achieve the planned goals.
4. Applying and carrying out the strategy in an efficient and effective way.
5. Checking performance, reviewing changes, and making necessary improvements in goals, strategy, or implementation based on experience, changing conditions, new ideas, and opportunities.

4. Explain Strategic Management Process.

- a) **Goal-Setting:** The company sets clear goals for what it wants to achieve. These goals help guide work and measure success in the future.
- b) **Analysis:** The company studies its internal strengths and weaknesses and external opportunities and threats. This helps the company make better decisions and plan future strategies.
- c) **Strategy formulation:** The company creates a plan to achieve its goals and solve problems. This could involve diversification, market penetration, product development, partnerships, cost leadership, or differentiation strategies, among others.

- d) **Strategy implementation:** The company starts using the planned strategy in daily work. Employees follow the plan and complete their tasks properly. This helps the company reach its goals successfully.
- e) **Evaluation and control:** This stage is about monitoring your progress, comparing it with your plan, and making adjustments like the captain of a ship.

5. What is Stakeholder with figure?

A stakeholder is an individual or a group of individuals with an interest, often financial, in the success of a business. The primary stakeholders in a corporation include its Customer, Government, Employees, Communities, Suppliers and Investors.



6. Explain Type of Stakeholder's.

1. Customers:

Stake: Product/service quality and value

Customers buy the company's products or services. They help the business grow through their support. For example, passengers traveling on an airplane literally have their lives in the of transportation, mining, oil and gas, construction, etc.

2. Governments

Stake: Taxes and GDP

Governments can also be considered a major stakeholder in a business, as they collect taxes from the company. Governments benefit from the overall Gross Domestic Product (GDP) that companies contribute to.

3. Employees

Stake: Employment income and safety

Employees work for the company and help complete daily tasks. Their effort helps the company succeed.

4. Communities

Stake: Health, safety, economic development

Communities are the people around the business. Communities are major stakeholders in large businesses located in them.

5. Suppliers and Vendors

Stake: Revenues and safety

Suppliers and vendors sell goods and/or services to a business and rely on it for revenue generation and on-going income.

6. Investors

Stake: Financial returns

Investors provide money to support the business. They expect profit and business growth in return.

Pdf – 3 (B)

1. Define and Explain Macro Environment factor with figure.

Ans: Macro environment refers to the major external and uncontrollable factors that influence the decision making of an organization. A company does not operate alone in its business environment, but operates in a larger context.

Explain Macro Environment factor:

Six components of macro environment are Demographic, Economic, Natural, Technological, Political and Cultural environments.

1. Demographic environment: Demography can be defined as the study of human population in context of size, density, age, location, gender, race, occupation and other statistics. The large and diverse demographics offer both opportunities as well as challenges for businesses.

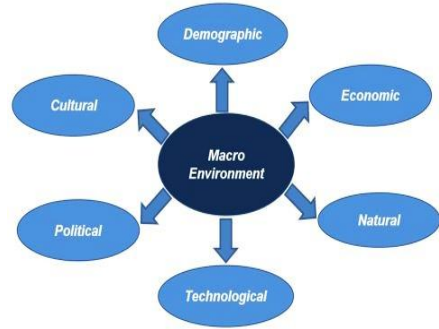
2. Economic Environment: Economic environment includes factors that affect people's buying ability and spending habits. A company should check factors like GDP, income, inflation, unemployment, and spending patterns before doing business in a country.

3. Natural Environment: Natural environment includes natural resources and physical conditions used in business activities. Example: air and water pollution, floods, droughts, etc.

4. Technological Environment: Technology has a big effect on business and marketing activities. Before investing, a company should study the use of technology in the area and plan its communication and marketing properly.

5. Political environment: The developments in the political environment strongly affect the marketing decisions. This involves laws, government agencies, as well as the pressure groups that can influence.

6. Cultural environment: Cultural environment includes people's values, beliefs, behavior, and preferences in society. A company must understand local culture before making marketing decisions, because the same symbol or idea can have different meanings in different cultures.



2. Define Core Competencies.

Core competencies are the defining products, services, skills and capabilities that give a business advantage's over its competitors. In other words, business core competencies are advantages that no competitor can reasonably offer or replicate.

❖ What are examples of Core Competencies in business?

Some typical core competencies include the following:

- **Consistently high quality**
- **Incomparable value**
- **Ceaseless innovation**
- **Clever, successful marketing**
- **Great customer service**
- **Formidable size and buying power**

Explain this point:

- **Consistently high quality:** Google is the world's leading search engine and one of the most-used email, calendar and cloud storage platforms. Its software quality remains consistently high, no matter the tool. People use Google because it is easy to use, modern, reliable, and helps organize work efficiently.
- **Incomparable value:** Dropbox is popular because it makes file sharing easy and offers useful features at a reasonable price. Businesses use Dropbox for cloud storage, offline access, e-sign tools, and other services that provide good value for money.
- **Ceaseless innovation:** QuickBooks is popular because it regularly adds new tools and features to improve its accounting software. Its continuous innovation makes QuickBooks a trusted choice for businesses of all sizes.
- **Clever, successful marketing:** Target has grown successfully because of its strong and smart marketing strategy. Its famous red-and-white brand style, logo, and advertisements make it easily recognized by customers.

- **Great customer service:** McDonald's is successful because of its large size and strong buying power. It can open many new branches and buy food at low cost, which helps sell meals at affordable prices.
- **Formidable size and buying power:** Amazon is successful because it provides excellent customer service and focuses strongly on customer satisfaction. Its online marketplace offers many products and helps both customers and businesses sell easily online.

Final Term

Chapter – 5

1. Define Strategy Alliance.

Ans: A strategic alliance is an arrangement between two companies to undertake a mutually beneficial project while each retains its independence. strategic alliances can involve more than two companies.

2. Examples of Strategic Alliances.

Ans: Strategic alliances can come in many sizes and forms. Some generic examples:

- An oil and natural gas company might form a strategic alliance with a research laboratory to develop more commercially viable recovery processes.
- A clothing retailer might form a strategic alliance with a single manufacturer to ensure consistent quality and sizing.
- A website could form a strategic alliance with an analytics company to improve its marketing efforts.

3. Type of Strategic Alliances.

Ans: i. Joint Ventures: A joint venture occurs when two companies come together to create an entirely new, separate company that each of the existing companies becomes a parent to. For example, in 2012, Microsoft and General Electric Healthcare signed a joint agreement to create a new, third company called Paradigm, with each of them owning 50%.

ii. Equity Strategic Alliances: An equity strategic alliance may have similar outcome goals as a joint venture. For example, in 2010, Panasonic invested \$30 million in the automaker Tesla by purchasing shares of Tesla common stock in a private placement.

iii. Non-Equity Strategic Alliances: In a non-equity strategic alliance, two entities come together without an exchange of equity. The relationship between Barnes & Noble and Starbucks is one highly visible example.

4. How Strategic Alliances Can Create Value.

Ans: There are many reasons that a company might choose to enter into a strategic alliance. They include:

- 1) Improving short-term finances.
- 2) Eliminating barriers to entry.
- 3) Gaining better business insights.
- 4) Sharing financial risk.
- 5) Innovating beyond current capabilities.

5. How to Form a Strategic Alliance.

Forming a strategic alliance requires creativity, forward thinking, and savvy business sense. Though strategic alliances can differ in many respects, most involve some common steps:

- 1) Brainstorm potential partners.
- 2) Outline alliance proposals.
- 3) Mutually determine goals.
- 4) Finalize the plan.

Chapter 4 (compulsory)

1. What is meaning of competitive advantage?

Ans: Competitive advantage means having something that makes a business better than its competitors. It helps a company attract more customers and earn more profit. Competitive advantages are attributed of factors including cost structure, branding, distribution network, environment property and customer service.

2. Competitive Advantage Areas.

Ans: To build a competitive advantage, a company can use one of three main methods:

1. **Cost:** Provide offerings at the lowest price
2. **Differentiation:** Offer products or services with better quality, service, or features.
3. **Specialization:** Provide offerings barely personalized to a focused market.

3. How to build a competitive advantage?

Ans: To build a competitive advantage, a company must know what sets it apart from its competitors and then focus its message, service, and products with that difference in mind.

1. Research the Market: Market research helps a company identify and define its target market. This helps the company create a better advantage.

2. Identify Strengths: Identify can check its products, services, features, brand, and market position.

3. Evaluate Finances: A company should check its financial performance. This helps it find where it makes more profit and where it is financially strong.

4. Review Operations: A company should check how well its daily activities are working. It should improve areas such as production, customer service, and supply chain.

5. Research and Development (R&D): R&D helps a company create new products and ideas.

6. Consider Human Resources: Good employees and leaders can help a company become successful. The company should focus on good hiring and a positive work environment.

4. What is Industry Analysis?

Ans: Industry analysis is the process of studying an industry. It involves examining the industry's characteristics, competition, growth, key success factors, and overall understand profit potential and business opportunities.

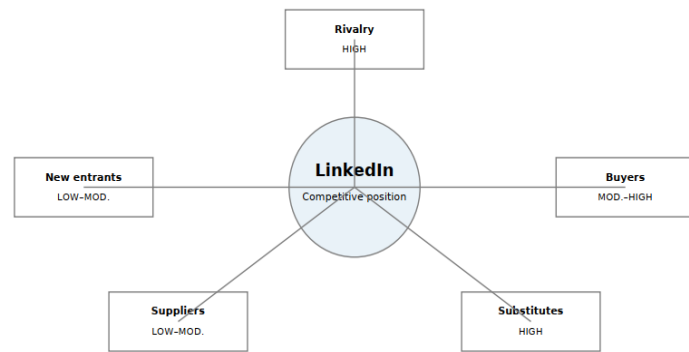
5. Analyze any three popular framework of industry analysis for any Company. (LinkedIn, google, Facebook, amazon, Unilever)

Ans: ___ is a professional networking platform that connects individuals, employers, recruiters, educators and business communities. ___ has become an important digital channel for professional identity, recruitment, employer branding, learning and business-to-business communication. Therefore, the popular framework of industry analysis such as **i. SWOT Analysis ii. Porter's 5 forces iii. PEST Analysis.**

i. SWOT Analysis: SWOT analysis identifies internal strengths and weaknesses and external opportunities and threats. For ____, the most important strategic advantage is the combination of a professional social network with recruitment, advertising, learning and business services. Strategic interpretation: LinkedIn should use its professional network and trusted brand to expand AI-enabled recruitment, learning and business solutions. The strongest strategy is therefore to deepen the professional ecosystem rather than compete as a general-purpose social network.

STRENGTHS Professional network Brand • Data • Recruiter base	WEAKNESSES Platform dependence Engagement variation • Moderation
OPPORTUNITIES AI • Learning • B2B growth Emerging markets	THREATS Competition • Regulation Privacy • Labor-market cycles

ii. Porter's 5 Forces Analysis: Porter's Five Forces examines the competitive structure of an industry through five forces: rivalry among existing competitors, threat of new entrants, bargaining power of suppliers, bargaining power of buyers and threat of substitutes. The industry is attractive but highly competitive. _____ strongest protection is its network effect, professional data and brand trust. Its main strategic challenge is that customers can use several alternative channels for recruitment, job search, advertising and networking.



iii. PEST Analysis: PEST analysis studies the **Political, Economic, Social, and Technological** factors that affect a company

Political Factors: Government rules, taxes, trade policies, and data regulations can affect Amazon.

Economic Factors: Inflation, unemployment, and customer income can affect people's online shopping.

Social Factors: People like convenient shopping, home delivery, and online services. This creates opportunities for Amazon.

Technological Factors: AI, cloud computing, automation, and robotics help Amazon improve its services.



Chapter 5

1. Concept Strategy and Competitive Advantage.

Ans: A strategic alliance is an arrangement between two companies to undertake a mutually beneficial project while each retains its independence. strategic alliances can involve more than two companies. In some cases, strategic alliances can involve more than two companies.

2. Type of Strategy Alliances.

Ans: 4 number page.

3. How Strategic Alliances Can Create Value.

Ans: start 4 number page---

1. **Improving short-term finances:** A company can get extra money or resources from its partner. This helps improve its financial condition in the short term.
2. **Eliminating barriers to entry:** A partner can help the company enter a new market more easily. It can reduce problems like lack of customers, knowledge, or distribution.
3. **Gaining better business insights:** Companies can share their knowledge and experience with each other. This helps them understand customers, markets, and competitors better.
4. **Sharing financial risk:** Both companies can share the cost and risk of a new project. This reduces the financial burden on each company.
5. **Innovating beyond current capabilities:** Companies can combine their skills and technology to create new products or services. This helps them do things they could not do alone.

4. How to form Strategic Alliance.

Ans: Start 4 number page---

1. Brainstorm potential partners: Find companies that have useful skills, resources, or technology. Choose partners that can help your business grow.

2. Outline alliance proposals: Prepare a clear plan for how both companies will work together. Explain the benefits, responsibilities, and expected results.

3. Mutually determine goals: Both companies should agree on common goals. This helps them work together in the same direction.

4. Finalize the plan: Make the final agreement and clearly define each company's role. Then start the alliance according to the agreed plan.

Chapter 7

1. What is Organizational Culture?

Ans: Organizational culture is the set of values, beliefs, attitudes, systems, and rules that outline and influence employee behavior within an organization. The culture reflects how employees, customers, vendors, and stakeholders experience the organization and its brand.

2. What is the important of Culture to your Company?

Ans:

1. Improve recruitment efforts – 77% of workers consider a company's culture before applying.

2. Improve employee retention – culture is one of the main reasons that 65% of employees stay in their job.

3. Improve brand identity – 38% of employees report wanting to change their job due to poor company culture.

4. Improve engagement – companies with a positive culture have up to 72% higher employee engagement rate.

3. Qualities of a great organizational culture.

Ans: Every organization's culture is different, and it's important to retain what makes your company unique.

1. Alignment, 2. Trust, 3. Performance, 4. Teamwork, 5. Integrity, 6. Innovation, 7. Psychological safety

Explanation:

1. Alignment: Employees understand the company's goals and values. Everyone works together toward the same objectives.

2. Trust: Employees and managers trust and respect each other. This creates a positive and comfortable workplace.

3. Performance: Employees are encouraged to do their best work. Good performance is recognized and rewarded.

4. Teamwork: Employees cooperate and help each other. Good teamwork makes it easier to achieve company goals.

5. Integrity: Employees should be honest and responsible in their work. The company should always follow ethical rules.

6. Innovation: Employees are encouraged to share new ideas and try better ways of doing things. This helps the company grow and improve.

7. Psychological Safety: Employees feel safe to share ideas, questions, or mistakes without fear. This creates an open and supportive workplace

4. Definition of Culture Conflict.

Ans: Cultural conflict happens when people from different cultures have different values, beliefs, or ways of doing things. These differences can cause **misunderstanding, disagreement, tension, or even hostility** between people or groups.

5. Distinction between Strong and weak culture.

Strong Culture	Weak Culture
Employees strongly share the company's values and beliefs.	Employees do not strongly share the company's values and beliefs.
Encourages open and effective communication.	Depends more on rules and regulations.
Makes investment in Culture	Makes little investment in culture
Supports employee learning, development, and growth.	Gives less support to employee development and growth.

6. What Causes Cultural Conflict?

Ans: Cultural conflict can stem from various sources, including:

1. Difference in Values, 2. Language Barriers, 3. Cultural practices, 4. Stereotyping and superstition

1. Difference in Values: People from different cultures may have different values and beliefs. These differences can cause misunderstanding and disagreement.

2. Language Barriers: People may speak different languages or use words differently. This can make communication difficult and cause confusion.

3. Cultural Practices: Different cultures have different customs, traditions, and ways of doing things. These differences may create conflict when people do not understand each other.

4. Stereotyping and Superstition: People may have wrong ideas or unfair beliefs about other cultures. This can lead to misunderstanding, discrimination, and conflict.

7. The importance of Addressing Cultural Conflict.

Ans: Addressing cultural conflict is important because it helps people from different cultural backgrounds **understand and respect each other**.

1. Improve Communication, 2. Builds Trust and Respect, 3. Increases Teamwork, 4. Improve Productivity, 5. Creates a positive Environment.

Explanation:

1. Improves Communication – It helps people understand each other better and reduces misunderstandings.

2. Builds Trust and Respect – People learn to respect different values, beliefs, and cultural practices.

3. Increases Teamwork – Good cultural understanding helps people work together effectively.

4. Improves Productivity – When conflicts are managed properly, employees can focus better on their work.

5. Creates a Positive Environment – It promotes cooperation, equality, and good relationships.

8. How to solve Cultural Conflict.

Ans: Resolve Cultural Conflict in main different approach:

1. Open Dialogue, 2. Cultural Competence Training, 3. Active Listening, 4. Mediation.

1. Open Dialogue: People should openly discuss their cultural differences and problems.

2. Cultural Competence Training: Training helps people learn about different cultures, values, and traditions.

3. Active Listening: People should listen carefully to others without interrupting or judging them. This helps understand their feelings, opinions, and cultural views.

4. Mediation: Mediation helps reduce tension and build better relationships.

Chapter 6

1. Define Emerging Industry.

Ans: An emerging industry is a new industry that is still in the early stage of development. The product, service or technology that the emerging industry is formed around an operating system or a strong customer base.

2. Characteristics of an Emerging Industry.

Ans: 1. Minimal Competition 2. Lots of growth potential 3. High risk and high instability 4. Low barriers to entry.

1. Minimal Competition: There are only a few competitors in the market. New companies can enter and grow more easily.

2. Lots of Growth Potential: The industry has a high chance of growing in the future. Demand for its products or services may increase quickly.

3. High Risk and High Instability: The industry is uncertain and can change quickly. Companies may face high risks and unstable profits.

4. Low Barriers to Entry: It is usually easier for new companies to enter the industry. Less capital, technology, or experience may be required.

3. Potential Strategies for Emerging Industries.

Ans: 1. Low Cost, 2. Differentiation, 3. Strategic alliance, 4. Joint Venture.

1. Low Cost: A company tries to produce products at a lower cost. This helps offer lower prices and attract more customers.

2. Differentiation: A company makes its product or service different from competitors. Unique features and better quality can attract customers.

3. Strategic Alliance: Two or more companies work together for a common goal. They can share knowledge, technology, resources, or markets.

4. Joint Venture: Two or more companies create a new business together. They share investment, risks, resources, and profits.

4. What is Industry life Cycle?

Ans: The industry life cycle refers to the life cycle portraying different stages an industry experiences during its life. The main stages are **Introduction, Growth, Maturity, and Decline**. The industry life cycle represents the different stages in the lifespan of an industry.

5. Stages of Industry Life Cycle.

Ans: There are **four main stages** of the Industry Life Cycle:

1. Introduction

2. Growth

3. Maturity

4. Decline

Industry Life Cycle



1. Introduction: Introduction is first stage of the industry life cycle phase. The industry is new and starts developing. Customer demand and competition are usually low.

2. Growth: The second stage of the industry life cycle is the growth phase. The industry grows quickly as more customers buy its products. More companies enter the market and competition increases.

3. Maturity: The maturity phase follows the growth phase. The industry becomes stable and growth becomes slower. Competition is high and companies focus on keeping their customers.

4. Decline: After experience growth and maturity, the industry moves to a declining phase. Demand for the products or services starts to decrease. Some companies may leave the industry or reduce their operations.